

IN THE COURT OF APPEAL OF TANZANIA

AT DAR ES SALAAM

CIVIL APPLICATION NO. 212 OF 2026

AGS FRASER INTERNATIONAL REMOVALSAPPLICANT

VERSUS

THE COMMISSIONER GENERAL

TANZANIA REVENUE AUTHORITY.....RESPONDENT

**(Application for extension of time to lodge a notice of appeal from the
decision of the Tax Revenue Appeals Tribunal at Dar es Salaam)**

(Ngimilanga – Vice Chairman, Mkasiwa and Zuber, Members)

dated the 10th day of July, 2025

in

Tax Appeal No. 169 of 2024

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RULING

13th & 31st August, 2026

KITUSI, J.A.:

This ruling is in respect of an application for extension of time to lodge a notice of appeal. The applicant was dissatisfied with the judgment and decree of the Tax Revenue Appeals Tribunal in Tax Appeal No. 169 of 2024 and intends to appeal to the Court against that decision. The application is supported by an affidavit of Antoine Lessene which details the background and reasons for the delay. The application is resisted by the respondent through an affidavit in reply of Veronica Waryoba, its legal counsel. Both parties presented written submissions and had nothing to add to, during the hearing.

Mr. Luka Elingaya, learned advocate represented the applicant whereas the respondent enjoyed services of Mr. Andrew Francis and Ms. Veronica Waryoba, learned State Attorneys.

It is clear that this is a second bite application for extension of time, the first bite vide Tax Application No. 61 of 2025 having been dismissed by the Tribunal on 13th March, 2026.

Initially, the Tax Revenue Appeals Board confirmed the respondent's additional Value Added Tax assessment of Tshs. 550,014,429.00, Tshs. 394,275,855.00 and Tshs. 527,428,829.00 for the years of income 2017, 2028 and 2019, respectively to be paid by the applicant. The Board's decision was upheld by the Tribunal vide Tax Appeal No. 169 of 2024 dated 10th July, 2025, notification of which was received by the applicant on 17th July, 2025. The essence of this application is to give an account of what took place subsequent to 17th July, 2025.

In paragraph 4 of the supporting affidavit, the applicant narrates the steps it took. It promptly engaged Breakthrough Attorney, its previous attorneys, which advised that a request for supply of the necessary documents be made in order for the applicant to decide the

way forward. The Tribunal served Breakthrough with those documents on 3rd September, 2025.

Under paragraph 5, the applicant alludes to a period from June to August during which the applicant experiences what they call as peak operational season. During this period every year, the attention of the entire senior staff including that of the deponent of the affidavit, the applicant's manager of the Tanzania branch, is fixed on activities of the applicant company because the income generated during this period is very significant for the running of the company.

Consequently, it has been submitted, immediate administrative attention to legal matters was minimal such that the applicant leaned heavily on the legal counsel's advice or directions. The applicant has sought to substantiate the span of the peak season by a copy of the internal operational summary. The affidavit states that this period was from June to August.

It has been submitted further that due to oversight on the part of the applicant's lawyer, the applicant was not advised of the statutory time limit in lodging the notice of appeal, and pursuing an appeal against the Tribunal's decision. The delay was allegedly compounded by the fact that from 5th to 24th September, the

deponent was in his annual leave out of the country. It is submitted that this fact limited the deponent's ability to access emails or sign documents and as he was the only one mandated to sign those documents and authorize company decisions, the documents relevant to these proceedings were neither read nor signed where signing was required.

When the branch manager returned from the annual leave, the applicant withdrew its instructions to Breakthrough Attorney and engaged Dentons EALC East African Law Chambers after which it came to be known that the notice of appeal ought to have been lodged by 9th August, 2025.

In the written submissions, the applicant's advocate recited the legal principles that have to be considered by the Court when it is called upon to determine an application for extension of time. He referred to numerous decisions of the Court in support thereof. As these cases are on settled principles, I shall refer to only a few of them. Incidentally, some of those cases are the same as those referred to by the respondent's counsel in their written submissions. The Court's decision in **Lyamuya Construction Company Limited**

v. Board of Registered Trustees of Young Women Christians Association of Tanzania [2011] TZCA 4, features prominently.

In a nutshell, the parties are at one on the principle that the Court may extend time upon good cause being shown and that determination of what constitutes good cause depends on the Court's discretion. Also, that the applicant must demonstrate the following things as per **Lyamuya Construction** (Supra); an account for each day of the delay; that the delay is not inordinate; that the applicant has been diligence as opposed to negligent; and, in some cases, existence of a point of law of sufficient importance. I think I should interpose here that it cannot be that there is an illegality in every decision that is appealed against to the Court. I say this because of the increasing trend where illegality is pleaded in invariably every application for extension of time. The issue of illegality is being pursued in this application as well.

It is submitted that the applicant has accounted for each day of the delay, in that, following the delivery of the impugned judgment, the applicant consulted the lawyer on 17th July, 2025. From 18th July to 3rd September, 2025 the applicant was, on the lawyer's advice, waiting to be supplied with the relevant Tribunal documents before

deciding the next action to take. The applicant's advocate has argued that although the advice turned out to be incorrect as the lodging of notice of appeal did not require the supply of copies of documents, it is nevertheless an explanation by the applicant in this matter. At this point the applicant's advocate cited the case of **Abdallah Juma Kambale v. Norad Tiliko Mongelwa** [2023] TZCA 17730 in which it was held that a party who has demonstrated diligence and vigilance in following up the matter should not be penalized for negligence of its previous advocate.

Further, counsel submitted, the delay from 5th to 24th September, 2025 is accounted for by absence of the deponent, the branch manager of the applicant company, who was out of the country on annual leave. It is submitted further, that although the copies of the necessary documents were transmitted to the deponent on 11th September, 2025, this was not of any use because the branch manager who has the mandate to decide the actions to be taken was already out of the country as earlier shown.

It is therefore maintained that the applicant was diligent and has accounted for each day of the delay.

In its submissions the respondent joined hands with the applicant in terms of the principles governing extension of time as expressed in cases some of which had already been cited by the applicant, including **Lyamuya Construction** (Supra). The written submissions prepared by Mr. Francis and Ms. Waryoba, learned State Attorneys have drawn my attention to what they refer to as gaps that remain unaccounted for. They have identified five gaps.

The first gap is from 10th July, 2025 to 9th August, 2025 when the applicant failed to lodge a notice of appeal purportedly waiting for copies of proceedings. It is argued by the learned State Attorneys that those copies of the proceedings were not anyhow relevant in lodging that notice. Further, the applicant is criticized for not being pro-active and proceeding to lodge the notice of appeal when the advocate was dragging feet. In my view, this is where the advocate's alleged negligence comes in. I have already shown that the applicant concedes to this inaction but blames it on the former advocate.

The second gap is between 3rd and 5th September when the copy of proceedings was supplied to the applicant's former advocate and immediately before departure of the deponent to a country where he went on leave. The argument here is that there was a short span

of one to two days during which the said deponent (branch Manager) could have issued instructions. It is further submitted that there is no explanation why the deponent's physical presence was indispensable in this era of advanced electronic communication. It is also submitted that the internal arrangement in the applicant's running of office and hierarchy in making decisions should not be allowed to affect statutory time limits.

The third gap addresses the alleged inaction of the applicant upon the deponent's return from his annual leave on 24th September, 2025. The respondent questions why the first bite application was filed on 23rd October, 2025 about 29 days later.

The fourth gap is on an alleged inaction from 13th March 2026 when the first bite application was dismissed, to 14th April, 2026 when the second bite was taken. It is submitted that the Registrar communicated to the applicant about the copy of proceedings being ready for collection by a letter dated 13th April, 2026, yet the affidavit was taken on 14th April, 2026.

The fifth and last gap is the lapse between the dismissal of the first bite on 13th March and 18th June 2026 when the notice of motion instituting this application was filed.

The learned State Attorneys argue that, either way the period from 10th July, 2025 when the Tribunal rendered its decision to 18th June 2026 when this application was filed (over 11 months) or that from the date of dismissal of the first bite on 13th March, 2026 to the filing of the second bite application on 18th June 2026 (over 3 months) is excessive and has not been accounted for. The case of **Bushiri Hassan v. Latifa Lukio Mashayo [2007] TZCA 220**

On the fourth and fifth gaps, the respondent should take into account that a certificate of delay was issued by the Registrar to exclude some days. Besides, it is settled law that a party may not be punished twice for the same inaction. This means that the dismissal of the first bite application served as a punishment to the applicant so that same argument should not be reopened. In any event in view of my decision on the other gaps, I need not belabour on the arguments touching the fourth and fifth gaps.

The other issue is whether, in terms of principle, the negligence or inadvertence of an advocate is sufficient cause for purpose of extension of times. The respondent's counsel have distinguished the facts of this case from those in the case of **Abdallah Juma Kambale** (Supra) cited by the applicant on the issue of negligence of an

advocate. The respondent has, instead cited the cases of **Tanga Cement Company Limited v. Jumanne D. Masangwa & Another** [2004] TZCA 45 and **Fortunatus Masha v. William Shija & Another** [1997] TLR 154 to demonstrate that the general rule is the opposite of what is submitted by the applicant and that the case of **Abdallah Juma Kambale** (Supra) cited by the applicant represents an exception.

The respondent's counsel have sought to establish the distinction between **Abdallah Juma Kambale** (Supra) and **Felix Tumbo Kisima v. TTCL Limited & Another** [1998]TZCA 10 on the one hand, where the advocate had been removed from the Roll or that he was being accused of making deliberate misrepresentations, and on the other hand this case presenting a different set of facts where there is no such removal of advocate from the Roll or any allegations of impropriety against the advocate under reference.

As regards the applicant's contention that during a particular period, the senior officers were unable to act because of the applicant company's business peak season, the respondent has submitted that the applicant's inability to put in place systems of delegation of functions in its office should not benefit such applicant in an

application for extension of time and that if the Court were to take such failures into consideration, it would cause abuse and allow corporate litigants to use it as a shield. The case of **Attorney General v. Tanzania Ports Authority & Another** [2016] TZCA 897 was cited in support of the argument.

I shall now proceed to consider the arguments by both sides bearing in mind the fact I observed very early in the day, that the learned counsel join issue on the key principles and have correctly addressed it.

The applicant blames the delay partly on the former advocate and partly associates it with the applicant's own inability to take action on account of being overwhelmed by peak season and thereafter on the ground that the branch manager proceeded on annual leave out of the country.

I shall first consider the role of the applicant's management in general and that of the branch manager in particular and weigh it against the explanation offered. I have looked at Annexure AGS 4, which represents the period of the peak season in a graph. According to Annexure 4 the peak season commences from the month of May through to August. Nothing has been brought forward to show that

during the whole of those three or so months the other activities of the applicant's office were in a freezing mode. To me, the fact that the branch manager never once attempted to feel the pulse of the tax case in which a decree had been entered against it, merely because during that period the company was experiencing its peak season, is nothing but apathy. The fact that immediately thereafter the branch manager proceeded to travel out of the country on his annual leave raises more questions as to his diligence. I note that the requisite documents were transmitted to the applicant by the advocate on 11th September 2025. It is important to restate the principle that cases belong to the parties, not to the advocates. In **Julius Fanuel Mollel (As Administrator of the Estate of the Late Fanuel Loishooki Noah) v. Samwel Simeu Laizer & 4 Others [2023] TZCA 17845**, we emphasized on a party's role in a case by reproducing the following passage from the case of **Abdallah Juma Kambale** (supra), that

"...the party to a case who engages the services of an advocate has a reciprocal duty to closely follow up the progress and status of his case".

In this case the trend shows that while on leave, the said branch manager did not anyhow get in touch with his office for the entire period of the leave while aware that certain decisions could not be made by any person other than him. In my judgment this was an act of indifference on the part of the branch manager and I agree with the respondent that the world we live in today has long gone beyond necessity of physical presence of a person for him to get things done.

As it is, for the advocate to be blameworthy, the party who engaged him must first have demonstrated diligence or vigilance on his part, which the applicant has not successfully shown in this case. It means that even if I were to agree that the advocate was negligent for the initial part of the period, that finding would not carry the day because there is still a period which the applicant has failed to explain the failure to act. I am of the view that the applicant's explanation why no steps were taken between June and August, the period covering the peak season, and between 5th and 24th September, the period of the branch manager's annual leave, is too casual to accept. I dismiss those respective explanation.

Lastly, I turn to the issue of illegality. The applicant's contention and submission are that the computation of the additional Value

Added Tax that was imposed on the applicant was based on a wrong methodology. The applicant cited many cases justifying extension of time on the ground of illegality including **Lea Associates South Asia Pvt v. Commissioner General (TRA)** [2025] TZCA 1222 and **Zuberi Nassor Mod'd v. Mkurugenzi Mkuu Shirika la Bandari Zanzibar**, Civil Application No. 93/15 of 2018. These decisions are consistent on the imperative duty on the applicant to bring out the alleged illegalities for consideration by the Court before extension of time may be issued. In fulfillment of that duty, the applicant submitted that as a company providing logistic services part of its duties involves making payment for clearing charges and duties but later get reimbursed those costs by the customers. The submissions go on to say:

"In the applicants' line of business, she incurs logistics costs on behalf of her customers for facilitation of shipment of their consignments, which are later reimbursed back to the applicant. These do not form part of the applicant's consideration for supply. However, these amounts are recorded in the applicant's ledgers for accounting purposes, but the respondent erroneously classified them as taxable supplies during the audit.

Consequently, this led to erroneous additional VAT arising from erroneous reconciliation between the applicant's sale ledgers and VAT Returns and TANCIS on export for the years 2017, 2018 and 2019".

The respondent has submitted that for those points to qualify as points of law forming illegality for purposes of extension of time, they must be obvious such that they do not need elaborate legal arguments.

The Tribunal may have made wrong findings endorsing the respondent's methodology in computation of value added tax and they could even be points of law as argued by the applicant. It has even been suggested, citing the case of **Commissioner General (TRA) v. New Musoma Textiles Limited** [2020] TZCA 284 that a point involving determination of significant revenue liability becomes a point of importance such that it may prompt the court to order extension of time.

I agree with the respondent and hold that the standard as to what constitutes illegality must, in my view, be similar and maintained. In our jurisdiction, illegality was introduced in the case of **The Principal Secretary, Ministry of Defence and National**

Service v. Devram Valambhia [1992] TLR 387. It was in Lyamuya Construction (supra) that the principle was elaborated and emphasized that illegality must be apparent. I am going to show what was before the Court in Lyamuya Construction. I shall reproduce the relevant parts:

"In paragraph 6 of the affidavit in reply, the respondent deponed that it was a contradiction for the applicant to suggest that the cause of action accrued in December, 1996, when during trial he had argued that it accrued in June 1999.... Certainly the two paragraphs cannot be reconciled and it would take a long drawn out process to get to the bottom of this, and decipher the point of law or illegality in the decision that is sought to be challenged".

Similarly in this case, I am not saying there is no point of law being raised by the applicant, but for me to appreciate that point of law such as would stir me to order extension of time, a long-drawn search is inevitable. Consequently, I dismiss the point of alleged illegality.

The respondent's counsel raised a novel but surprising point that this application is an attempt to reargue the same application for

extension of time having previously lost it before the Tribunal. With respect, that is what rule 45A (1) (a) of the Rules is all about; to try a second bite where the Court considers the merit of the same facts as those that had been placed before the court or Tribunal in the first bite.

All said, this application has no merit and it stands dismissed with costs.

DATED at DAR ES SALAAM this 28th day of August, 2026.

I. P. KITUSI
JUSTICE OF APPEAL

Ruling delivered this 31st day of August, 2026, in the presence of Mr. Taragwa Michael, learned State Attorney for the Respondent assisted with Ms. Merry Kasuga and Mr. Joseph Towela both Law School Trainees also holding brief for Mr. Jevenalis Ngowi, learned counsel for the applicant and Mr. Kawiza, Court Clerk; is hereby certified as a true copy of the original.

A circular seal of the Court of Appeal of Tanzania. The outer ring contains the text "THE COURT OF APPEAL OF TANZANIA" at the top and "TANZANIA" at the bottom, separated by a star. The inner circle features a map of Tanzania. Overlaid on the seal is a signature and the text "J. E. FOVO", "DEPUTY REGISTRAR", and "COURT OF APPEAL".

J. E. FOVO
DEPUTY REGISTRAR
COURT OF APPEAL